FINANCIAL DILIGENCE SUPPORT - RECORD 005

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-005

1. Engagement scope and the periods brought into review

Scope is set out first because several of the conclusions that follow are sensitive to the period reviewed and to the extraction date of the underlying data. By reference,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. On the documents,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements.

On the evidence,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. On inspection,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. Read narrowly,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. By reference, Dunbar Industrial contracted under HC-2058 on 2024-07-19. On the papers,, a short-term pilot with hardware supplied on a loan basis and a monthly platform fee; no deployment fee was charged. The pilot lapsed in July 2025 without renewal following the customer's insolvency proceedings. Commercially Dunbar Industrial carries contracted hardware of $284,700 and annual subscription value of $132,000 with no separate deployment fee over 12 months. Pilot revenue was recognized ratably, which the reviewer accepted; the receivable was subsequently written off. Under Dunbar Industrial, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected.

On the substance,, inventory quantities rest on perpetual records because the reviewer did not observe the June 2026 count and the count sheets were only partially made available. On this point,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. On the source,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. HC-2162 (Zephyr Retail Logistics) runs 42 months from 2025-06-12. On its facts,, across Zephyr Retail Logistics, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Four obligations including a hosted analytics module sold as an add-on with its own renewal cycle. Under Zephyr Retail Logistics, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Zephyr Retail Logistics carries contracted hardware of $2,064,800, annual subscription value of $998,400 and a deployment fee of $286,000 across the contracted term. A December 2025 amendment moved the analytics module onto the master subscription term, aligning the renewal dates. For Zephyr Retail Logistics, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items.

On inspection,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. At the cut-off,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. Per the register,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself. Against the ledger, Crestline Fulfillment contracted under HC-2052 on 2024-06-27. On a second read,, four sites are contracted on a rolling schedule with hardware transferring site by site, a fleet subscription that steps up as each site goes live, and a deployment services obligation invoiced at milestones. Two amendments: an October 2024 change deferred the third site by two quarters, and a January 2026 change converted twelve leased units to purchased units. Commercially Crestline Fulfillment carries contracted hardware of $3,268,900, annual subscription value of $1,486,200 and a deployment fee of $428,000 over 48 months. For Crestline Fulfillment, the explanation offered was plausible and was still corroborated against a document before being accepted. Under Crestline Fulfillment, the item is retained in the file even though it does not change the conclusion, so the trail remains complete.

2. Contract modifications and variable consideration

Variable consideration in this population arises from volume tiers, service credits, liquidated damages and discounted options, each of which is dealt with separately below. On the merits,, every schedule ties from a named source system extract to the reported figure through individually identified differences. On the substance,, pro forma items are separated from normalizations so that a reader can adopt one class without accepting the other.

Against the ledger, the reviewer's read of HC-2104 with Oakhurst Parts Group, signed 2025-08-29 for 30 months and carrying contracted hardware of $1,142,800, annual subscription value of $596,400 and a deployment fee of $158,500. From the extract,, hardware transfers on delivery with installation by the customer's own contractor, so the deployment obligation is limited to remote commissioning support. On Oakhurst Parts Group, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. Because installation is performed by the customer, hardware transfer is earlier than in comparable contracts; the earlier transfer date was verified to the delivery receipt. Under Oakhurst Parts Group, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. HC-2092 (Meridian Cold Chain) runs 36 months from 2025-05-30. On inspection,, refrigerated environment units transfer on acceptance after a thermal validation period, with a subscription and a validation services obligation. Under Meridian Cold Chain, the reviewer declined to net this item against another with an opposite direction in the same period. Meridian Cold Chain carries contracted hardware of $1,486,200, annual subscription value of $742,800 and a deployment fee of $196,000 across the contracted term. On Meridian Cold Chain, reperformance used the contractual rate rather than the rate management had applied. For Meridian Cold Chain, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Per the workpaper, the file for HC-2058 with Dunbar Industrial, signed 2024-07-19 for 12 months and carrying contracted hardware of $284,700 and annual subscription value of $132,000 with no separate deployment fee. In review,, a short-term pilot with hardware supplied on a loan basis and a monthly platform fee; no deployment fee was charged. The pilot lapsed in July 2025 without renewal following the customer's insolvency proceedings. For Dunbar Industrial, the item was raised in the interim update and is carried forward unchanged into this file. Under Dunbar Industrial, the document inspected is dated before the cut-off, which is what makes the period attribution defensible.

HC-2127 (Saltmarsh Logistics) runs 36 months from 2026-01-09. On the substance,, across Saltmarsh Logistics, the conclusion is stated at the low end of the supportable range, as the file convention requires. Two obligations only: hardware on acceptance and a subscription, with deployment performed by a channel partner under a separate agreement. Under Saltmarsh Logistics, the conclusion would change if the missing supporting document is later produced in a different form. Saltmarsh Logistics carries contracted hardware of $1,246,900, annual subscription value of $668,400 and a deployment fee of $174,000 across the contracted term. No amendments to date; the channel partner agreement was amended in March 2026 to change the referral fee. For Saltmarsh Logistics, a second preparer reperformed the arithmetic and reached the same figure to the dollar. HC-2086 (Kadence Industrial Holdings) runs 60 months from 2025-04-24. On the papers,, the largest contract in the population: five facilities, staged hardware transfer, a master subscription with volume tiers, and a managed deployment obligation with a dedicated crew. Under Kadence Industrial Holdings, the item was traced from the summary schedule through the sub-ledger to the source document. Kadence Industrial Holdings carries contracted hardware of $4,128,700, annual subscription value of $2,046,500 and a deployment fee of $612,000 across the contracted term. Three amendments across 2025 and 2026 adjusted the facility sequence, added a spare parts pool and introduced an annual price escalator. Volume tier pricing creates variable consideration; management estimated the tier achieved rather than constraining to the minimum, and the estimate was tested against actual unit counts. HC-2063 (Evergreen Warehousing) runs 36 months from 2024-09-05. On testing,, two distribution centres take hardware on acceptance, share a single subscription measured by active units, and buy an onboarding package that includes operator training. Under Evergreen Warehousing, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Evergreen Warehousing carries contracted hardware of $2,104,300, annual subscription value of $1,128,400 and a deployment fee of $268,500 across the contracted term. On Evergreen Warehousing, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. For Evergreen Warehousing, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction.

Read narrowly, sample coverage extends to HC-2074 with Granite Peak Distribution, signed 2025-01-16 for 36 months and carrying contracted hardware of $2,746,100, annual subscription value of $1,312,700 and a deployment fee of $386,000. On a second read,, three phases of hardware with separate acceptance, a subscription priced per active unit, and a deployment obligation including layout simulation delivered before installation. An August 2025 amendment added a service level commitment with credits, and a May 2026 amendment accelerated phase three. For Granite Peak Distribution, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. Under Granite Peak Distribution, the conclusion is stated at the low end of the supportable range, as the file convention requires. In substance, a further contract, HC-2069 with Fathom Mobility, signed 2024-11-21 for 30 months and carrying contracted hardware of $918,500, annual subscription value of $486,000 and a deployment fee of $124,000. On its facts,, one retrofit site with hardware transferring in two tranches, a subscription that begins at first tranche go-live, and an integration obligation delivered by a subcontractor. A February 2026 amendment substituted a newer chassis variant at no price change and extended warranty cover by twelve months. The extended warranty was not evaluated as a separate obligation; management asserted immateriality without quantifying it. Under Fathom Mobility, the item was selected for testing because of its characteristics rather than its size. HC-2052 (Crestline Fulfillment) runs 48 months from 2024-06-27. Per the register,, across Crestline Fulfillment, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Four sites are contracted on a rolling schedule with hardware transferring site by site, a fleet subscription that steps up as each site goes live, and a deployment services obligation invoiced at milestones. Under Crestline Fulfillment, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Crestline Fulfillment carries contracted hardware of $3,268,900, annual subscription value of $1,486,200 and a deployment fee of $428,000 across the contracted term. On Crestline Fulfillment, the item was projected across the population on the basis stated in the accompanying schedule. The site-by-site transfer dates were traced to acceptance certificates; one certificate is undated and the transfer date was taken from the installer's log.

Schedule 5.1 - Contract register with commercial terms

Contract	Customer	Signed	Term (months)	Hardware ($)	Subscription ARR ($)	Deployment fee ($)
HC-2041	Asterion Logistics	2024-02-14	36	1,842,600	964,800	214,000
HC-2047	Blue Mesa Components	2024-04-02	24	612,400	348,000	86,500
HC-2052	Crestline Fulfillment	2024-06-27	48	3,268,900	1,486,200	428,000
HC-2058	Dunbar Industrial	2024-07-19	12	284,700	132,000	0
HC-2063	Evergreen Warehousing	2024-09-05	36	2,104,300	1,128,400	268,500
HC-2069	Fathom Mobility	2024-11-21	30	918,500	486,000	124,000
HC-2074	Granite Peak Distribution	2025-01-16	36	2,746,100	1,312,700	386,000
HC-2092	Meridian Cold Chain	2025-05-30	36	1,486,200	742,800	196,000
HC-2098	Northfield Grocers	2025-07-11	24	764,300	412,600	108,000
HC-2109	Pinecrest Retail Services	2025-09-17	36	1,684,500	824,200	232,000
HC-2121	Redbank Distribution	2025-11-14	48	2,398,400	1,186,500	342,500
HC-2133	Thornbury Wholesale	2026-02-20	30	886,400	458,900	118,500
HC-2139	Umberland Freight	2026-03-13	24	618,200	342,700	92,000
HC-2144	Vantage Cold Storage	2026-04-07	36	1,368,700	704,500	186,500
HC-2150	Westbourne Grocery	2026-05-19	18	384,500	212,400	54,000
HC-2156	Yarrow Distribution Partners	2026-06-04	36	1,582,300	786,200	214,500
HC-2162	Zephyr Retail Logistics	2025-06-12	42	2,064,800	998,400	286,000
HC-2168	Ashcombe Beverage Distribution	2024-10-30	36	1,324,600	682,900	178,000

3. Identifying obligations in the subscription, hardware and services model

The reviewer built the obligation analysis from the executed agreements and amendments rather than from the revenue schedule, so that the schedule could be tested against it. On the merits,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. On the balance,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025.

HC-2133 (Thornbury Wholesale) runs 30 months from 2026-02-20. Per the index,, hardware, subscription and a training obligation delivered in three sessions across the first quarter of service. Under Thornbury Wholesale, the explanation offered was plausible and was still corroborated against a document before being accepted. Thornbury Wholesale carries contracted hardware of $886,400, annual subscription value of $458,900 and a deployment fee of $118,500 across the contracted term. A May 2026 amendment added a fourth training session and a small fee increase. For Thornbury Wholesale, the conclusion would change if the missing supporting document is later produced in a different form. On its facts, testing reached HC-2121 with Redbank Distribution, signed 2025-11-14 for 48 months and carrying contracted hardware of $2,398,400, annual subscription value of $1,186,500 and a deployment fee of $342,500. On the source,, hardware in two tranches, a subscription with a committed minimum, and a deployment obligation with liquidated damages for late go-live. A April 2026 amendment reset the go-live date and waived accrued liquidated damages in exchange for a term extension. The waived damages were not recorded as variable consideration in the periods to which they related; the amendment accounting is an open item. Under Redbank Distribution, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. In this stream, Granite Peak Distribution contracted under HC-2074 on 2025-01-16. In review,, across Granite Peak Distribution, the conclusion is stated at the low end of the supportable range, as the file convention requires. Three phases of hardware with separate acceptance, a subscription priced per active unit, and a deployment obligation including layout simulation delivered before installation. An August 2025 amendment added a service level commitment with credits, and a May 2026 amendment accelerated phase three. Commercially Granite Peak Distribution carries contracted hardware of $2,746,100, annual subscription value of $1,312,700 and a deployment fee of $386,000 over 36 months. The layout simulation was delivered and billed in advance of installation; testing confirmed it is capable of being distinct and was recognized on delivery. Under Granite Peak Distribution, the reviewer declined to net this item against another with an opposite direction in the same period.

On the balance, Crestline Fulfillment contracted under HC-2052 on 2024-06-27. On the record,, four sites are contracted on a rolling schedule with hardware transferring site by site, a fleet subscription that steps up as each site goes live, and a deployment services obligation invoiced at milestones. Two amendments: an October 2024 change deferred the third site by two quarters, and a January 2026 change converted twelve leased units to purchased units. Commercially Crestline Fulfillment carries contracted hardware of $3,268,900, annual subscription value of $1,486,200 and a deployment fee of $428,000 over 48 months. The site-by-site transfer dates were traced to acceptance certificates; one certificate is undated and the transfer date was taken from the installer's log. Under Crestline Fulfillment, the item was raised in the interim update and is carried forward unchanged into this file. HC-2173 (Brackenridge Supply) runs 30 months from 2025-02-06. Per the register,, standard three-obligation structure with a twelve-month ramp on the subscription price, so billed and recognized amounts diverge through the ramp. Under Brackenridge Supply, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Brackenridge Supply carries contracted hardware of $1,046,700, annual subscription value of $548,300 and a deployment fee of $142,500 across the contracted term. No amendments; the ramp is contractual and creates a difference between billed and recognized subscription revenue in each of the first four quarters. The ramp was tested because it produces a contract asset; the asset balance agrees to the contract but was presented within trade receivables. HC-2127 (Saltmarsh Logistics) runs 36 months from 2026-01-09. On the record,, two obligations only: hardware on acceptance and a subscription, with deployment performed by a channel partner under a separate agreement. Under Saltmarsh Logistics, the amount was agreed to the underlying system extract without a residual difference. Saltmarsh Logistics carries contracted hardware of $1,246,900, annual subscription value of $668,400 and a deployment fee of $174,000 across the contracted term. No amendments to date; the channel partner agreement was amended in March 2026 to change the referral fee. For Saltmarsh Logistics, the item was raised in the interim update and is carried forward unchanged into this file.

On its facts, Umberland Freight contracted under HC-2139 on 2026-03-13. On the record,, a retrofit contract where existing customer equipment is integrated, so the hardware element is smaller and the services element larger than the population average. On Umberland Freight, reperformance used the contractual rate rather than the rate management had applied. Commercially Umberland Freight carries contracted hardware of $618,200, annual subscription value of $342,700 and a deployment fee of $92,000 over 24 months. For Umberland Freight, the item was projected across the population on the basis stated in the accompanying schedule. Under Umberland Freight, the conclusion rests on a document produced by a third party rather than by the company. HC-2104 (Oakhurst Parts Group) runs 30 months from 2025-08-29. Per the workpaper,, hardware transfers on delivery with installation by the customer's own contractor, so the deployment obligation is limited to remote commissioning support. Under Oakhurst Parts Group, the conclusion rests on a document produced by a third party rather than by the company. Oakhurst Parts Group carries contracted hardware of $1,142,800, annual subscription value of $596,400 and a deployment fee of $158,500 across the contracted term. A June 2026 amendment brought installation back in scope for a second site at a separately negotiated fee. For Oakhurst Parts Group, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. On the papers, Ashcombe Beverage Distribution contracted under HC-2168 on 2024-10-30. Per the register,, hardware and subscription with a deployment obligation performed partly by the customer's engineering team under supervision. On Ashcombe Beverage Distribution, the item is presented gross so that a reader can rebuild the measure from reported results. Commercially Ashcombe Beverage Distribution carries contracted hardware of $1,324,600, annual subscription value of $682,900 and a deployment fee of $178,000 over 36 months. For Ashcombe Beverage Distribution, the conclusion rests on a document produced by a third party rather than by the company. Under Ashcombe Beverage Distribution, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

Schedule 5.2 - Revenue recognition sample results

Sample	Contract	Invoice	Performance obligation	Recognized period	Tested period	Exception	Amount effect ($)
RS-001	HC-2041	INV-8856	Commissionin g services	2025-03	2025-05	Timing	68,400
RS-002	HC-2041	INV-8636	Hardware - six added units	2025-04	2025-04	None	0
RS-004	HC-2052	INV-8703	Hardware - site two	2025-02	2025-02	None	0
RS-006	HC-2052	INV-8939	Deployment milestone three	2026-02	2026-02	None	0
RS-008	HC-2063	INV-8766	Onboarding and operator training	2025-01	2025-01	None	0
RS-009	HC-2063	INV-8732	Subscription - unit count reduction	2025-08	2025-07	Timing	34,800
RS-011	HC-2074	INV-8868	Layout simulation	2025-02	2025-02	None	0
RS-012	HC-2074	INV-8717	Service level credit accrual	2025-11	2025-09	Variable consideration	46,200
RS-013	HC-2081	INV-8724	Pilot fee credited on conversion	2025-09	2025-11	Timing	62,900
RS-014	HC-2086	INV-8783	Volume tier subscription	2026-03	2026-03	Estimate	0
RS-015	HC-2086	INV-8896	Spare parts pool	2025-12	2025-12	Allocation	28,400
RS-017	HC-2092	INV-8821	Thermal validation services	2026-04	2026-05	Timing	52,800
RS-019	HC-2104	INV-8920	Hardware on delivery	2025-09	2025-09	None	0
RS-021	HC-2115	INV-8780	Onboarding - four week programme	2025-11	2025-11	None	0
RS-024	HC-2133	INV-8651	Training session four	2026-06	Undelivered	Completeness	18,600
RS-025	HC-2139	INV-8731	Hardware after customer acceptance tes	2026-05	2026-05	None	0
RS-026	HC-2144	INV-8644	Fixed-fee	2026-06	2026-06	None	0

Sample	Contract	Invoice	Performance obligation	Recognized period	Tested period	Exception	Amount effect ($)
			validation				
RS-028	HC-2156	INV-8851	Deployment fee invoiced in advance	None	2026-06	None	0
RS-031	HC-2173	INV-8635	Subscription ramp - contract asset	2025-06	2025-06	Presentation	0
RS-032	HC-2041	INV-8642	Subscription - term extension	2025-12	2025-12	None	0
RS-033	HC-2052	INV-8630	Purchased conversion of leased units	2026-01	2026-01	Modification	32,600
RS-034	HC-2074	INV-8690	Phase three acceleration	2026-06	2026-06	None	0
RS-035	HC-2086	INV-8878	Annual price escalator	2026-05	2026-05	None	0
RS-036	HC-2063	INV-8705	Customer overpayment applied to revenu	2026-03	None	Completeness	53,400

4. Whether revenue landed in the period it belongs to

Cutoff testing asks a narrower question than recognition testing: not whether revenue exists, but whether it sits in the month the underlying performance occurred. From the extract,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. On a second read,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ.

In sequence, the population yielded RS-030, the deployment fee refund obligation under HC-2168, recognized in 2025-09 and tested against 2024-11. Per the index,, a partial refund of the deployment fee was recorded as a revenue reduction in the month of payment rather than against the periods in which the fee had been recognized. For deployment fee refund the exception is classified as timing with an amount effect of $41,200. On deployment fee refund, the conclusion is stated at the low end of the supportable range, as the file convention requires. In substance, sample coverage extends to RS-033, the purchased conversion of leased units obligation under HC-2052, recognized in 2026-01 and tested against 2026-01. On any view,, twelve leased units converted to purchased units in January 2026; the residual lease liability was released to revenue rather than against the receivable. For purchased conversion of leased units the exception is classified as modification with an amount effect of $32,600. On purchased conversion of leased, the conclusion would change if the missing supporting document is later produced in a different form. RS-027 covers conversion option on HC-2150. From the extract,, the conversion option is priced at the standard rate, so no material right arises and no consideration is allocated to it. On conversion option, the item was projected across the population on the basis stated in the accompanying schedule. The conversion option amount was recognized in 2026-06 and tested against 2026-06. No exception was recorded.

On the source, under HC-2115 the onboarding - four week programme obligation was recognized in 2025-11. On the record,, this contract was retested by a second preparer and the conclusion reproduced without change. No exception was recorded. The workpaper for onboarding - four week programme is RS-021, tested against 2025-11. On onboarding four week, the conclusion rests on a document produced by a third party rather than by the company. In review, under HC-2086 the spare parts pool obligation was recognized in 2025-12. On testing,, consideration allocated to the spares pool obligation was set at cost rather than at an estimated standalone selling price, understating the amount deferred. For spare parts pool the exception is classified as allocation with an amount effect of $28,400. The workpaper for spare parts pool is RS-015, tested against 2025-12. On spare parts pool, the reviewer notes that management agreed the facts while reserving its position on the treatment. On the papers, under HC-2133 the training session four obligation was recognized in 2026-06. On the record,, the fourth training session added by the May 2026 amendment had not been delivered at the cut-off although the full fee had been recognized. For training session four the exception is classified as completeness with an amount effect of $18,600. The workpaper for training session four is RS-024, tested against an obligation still

undelivered at the cut-off. On training session four, the item is presented gross so that a reader can rebuild the measure from reported results.

RS-001 covers commissioning services on HC-2041. Per the workpaper,, the non-refundable commissioning fee was recognized when invoiced rather than across the eleven-week commissioning window, so revenue preceded performance by two months. On commissioning services, the conclusion is stated at the low end of the supportable range, as the file convention requires. The commissioning services amount was recognized in 2025-03 and tested against 2025-05. For commissioning services the exception is classified as timing with an amount effect of $68,400. In review, a further sample item, RS-013, the pilot fee credited on conversion obligation under HC-2081, recognized in 2025-09 and tested against 2025-11. In the file,, the pilot fee was recognized on invoice eleven weeks before the service window opened, and the conversion was documented as a new contract rather than a modification. For pilot fee credited on conversion the exception is classified as timing with an amount effect of $62,900. On pilot fee credited on, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. RS-002 covers hardware - six added units on HC-2041. By agreement,, the March 2025 amendment priced the additional units at the original rate; transfer on acceptance was verified to the site acceptance certificate. On hardware six added, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. The hardware - six added units amount was recognized in 2025-04 and tested against 2025-04. No exception was recorded.

Schedule 5.3 - Deferred revenue rollforward

Month	Opening ($)	Billings ($)	Recognized ($)	Modifications ($)	Refunds ($)	Closing ($)	GL tie difference ($)
2024-04	4,942,369	1,842,618	1,568,547	(41,045)	(73,248)	5,102,147	(62)
2024-05	5,102,147	2,441,028	1,407,841	(43,363)	(58,098)	6,033,873	(1,042)
2024-06	6,033,873	1,669,587	1,269,317	(143,946)	(49,537)	6,240,660	296
2024-07	6,240,660	1,888,595	1,746,980	14,620	(54,594)	6,342,301	(1,844)
2024-08	6,342,301	1,545,237	1,307,529	23,092	(65,487)	6,537,614	(1,180)
2024-09	6,537,614	1,771,696	1,936,859	60,120	(19,957)	6,412,614	3,278
2024-10	6,412,614	1,350,322	2,199,370	(119,072)	(39,108)	5,405,386	3,318
2024-11	5,405,386	1,225,966	1,815,684	(124,865)	(58,926)	4,631,877	685
2024-12	4,631,877	1,805,787	1,210,620	(121,769)	(13,683)	5,091,592	(793)
2025-01	5,091,592	1,877,735	1,819,520	(52,102)	(4,996)	5,092,709	(552)
2025-02	5,092,709	1,492,994	2,228,680	(17,341)	(72,666)	4,267,016	1,632
2025-03	4,267,016	1,327,157	1,294,054	(68,401)	(60,022)	4,171,696	3,365
2025-04	4,171,696	2,457,974	2,040,075	(64,117)	(844)	4,524,634	(2,213)
2025-05	4,524,634	2,329,646	1,597,653	(85,153)	(50,419)	5,121,055	(2,459)
2025-06	5,121,055	1,732,018	1,636,535	33,998	(36,618)	5,213,918	2,891
2025-07	5,213,918	1,929,085	2,063,330	(41,390)	(55,949)	4,982,334	(1,959)
2025-08	4,982,334	1,843,950	1,703,812	(20,090)	(43,985)	5,058,397	1,485
2025-09	5,058,397	1,828,620	1,281,890	(27,738)	(65,016)	5,512,373	1,774
2025-10	5,512,373	2,386,491	1,373,890	(79,470)	(5,599)	6,439,905	2,065
2025-11	6,439,905	1,533,563	1,199,684	53,066	(2,047)	6,824,803	(120)
2025-12	6,824,803	2,234,338	1,944,998	62,047	(60,305)	7,115,885	902
2026-01	7,115,885	1,882,071	1,249,104	(30,429)	(18,917)	7,699,506	803
2026-02	7,699,506	2,459,582	2,123,500	(74,611)	(44,294)	7,916,683	1,841
2026-03	7,916,683	2,206,537	1,849,095	(127,325)	(34,880)	8,111,920	(2,333)

5. Deferred revenue movement and its agreement to two source systems

The rollforward begins from the opening contract liability and closes on the balance the ledger reports, with every movement between the two individually identified. In review,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. Taken alone,, the chart of accounts was re-mapped in July 2025, and every trend presented here uses the later mapping applied retrospectively so that period comparisons are on a consistent basis.

RS-024 covers training session four on HC-2133. In substance,, the fourth training session added by the May 2026 amendment had not been delivered at the cut-off although the full fee had been recognized. On training session four, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. The training session four amount was recognized in 2026-06 and tested against an obligation still undelivered at the cut-off. For training session four the exception is classified as completeness with an amount effect of $18,600. On reperformance, item RS-027, the conversion option obligation under HC-2150, recognized in 2026-06 and tested against 2026-06. Per the

register,, the conversion option is priced at the standard rate, so no material right arises and no consideration is allocated to it. No exception was recorded. On conversion option, the reviewer confirmed that the same item does not also appear on the net debt schedule. On a second read, under HC-2086 the volume tier subscription obligation was recognized in 2026-03. Taken alone,, the tier assumed in the estimate was achieved on actual unit counts, so no constraint adjustment arises for the quarter tested. For volume tier subscription the exception is classified as estimate, and no amount effect could be quantified from the available support. The workpaper for volume tier subscription is RS-014, tested against 2026-03. On volume tier subscription, the item is presented gross so that a reader can rebuild the measure from reported results.

In substance, a further sample item, RS-026, the fixed-fee validation obligation under HC-2144, recognized in 2026-06 and tested against 2026-06. Per the workpaper,, the validation obligation was delivered inside the period; a pending change request for additional units remains unpriced and is disclosed. No exception was recorded. On fixed-fee validation, the file records the question asked, the answer given and the document that settled it. In detail, under HC-2058 the platform fee obligation was recognized in 2024-11. Against the ledger,, the pilot fee was recognized ratably over the pilot term, which is consistent with the loan-basis hardware arrangement. No exception was recorded. The workpaper for platform fee is RS-007, tested against 2024-11. On platform fee, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. RS-002 covers hardware - six added units on HC-2041. Taken alone,, the March 2025 amendment priced the additional units at the original rate; transfer on acceptance was verified to the site acceptance certificate. On hardware six added, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. The hardware - six added units amount was recognized in 2025-04 and tested against 2025-04. No exception was recorded.

On this point, testing covered RS-017, the thermal validation services obligation under HC-2092, recognized in 2026-04 and tested against 2026-05. On this point,, revenue for the validation obligation was recognized before the six-week extension to the validation period completed. For thermal validation services the exception is classified as timing with an amount effect of $52,800. On thermal validation services, reperformance used the contractual rate rather than the rate management had applied. In this stream, sample coverage extends to RS-031, the subscription ramp - contract asset obligation under HC-2173, recognized in 2025-06 and tested against 2025-06. On the source,, the contract asset created by the twelve-month price ramp agrees to the contract but is presented within trade receivables rather than separately. For subscription ramp - contract asset the exception is classified as presentation, and no amount effect could be quantified from the available support. On subscription ramp contract, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. On reperformance, under HC-2047 the bundled monitoring service obligation was recognized in 2025-08. As matters stand,, no observable standalone price exists for the monitoring element, and the expected cost plus margin estimate was reperformed within a range the reviewer accepts. For bundled monitoring service the exception is classified as estimate, and no amount effect could be quantified from the available support. The workpaper for bundled monitoring service is RS-003, tested against 2025-08. On bundled monitoring service, the conclusion would change if the missing supporting document is later produced in a different form.

6. Where the record rests on representation rather than evidence

Where management asserted a position and the supporting document was not produced, the assertion is recorded as an assertion and nothing more. In the file,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. On the record,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule.

Per the index,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope. On any view,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. On the balance,, cash application is performed by the same person who maintains the customer master, which is what allowed an overpayment to be applied to a settled invoice. On this point, the tie-out includes ADJ-37, Annualization of the enterprise support team build, which deducts $168,000 against Q2-2026 on a run-rate basis. At the cut-off,, six support engineers hired between March and June 2026 are present in the cost base for only part of the measured period, so trailing cost understates the committed run-rate. Support consists of the approved headcount plan, six signed offer letters and the

payroll register, and the item was put forward by diligence. Annualization of the enterprise was accepted at $168,000 and the reason sits on the schedule itself. On Annualization of the enterprise, a small residual difference remains and is reported rather than described as immaterial and omitted.

On testing,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. On the balance,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. In sequence,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. On reperformance, the file supports ADJ-31, Prepaid maintenance expensed on payment, which deducts $46,900 against FY2024 on a reclassification basis. In detail,, a twenty-four month maintenance contract was expensed when paid, front-loading cost into 2024 and leaving later periods understated. Support consists of the vendor contract term, the payment advice and the prepaid schedule, and the item was put forward by diligence. Prepaid maintenance expensed on was accepted at $46,900: the contract term is explicit and the prepaid schedule shows no corresponding asset, so the misstatement is a matter of arithmetic rather than judgment. On Prepaid maintenance expensed on, the evidence was inspected in original form rather than as a management-prepared summary.

On the merits,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. On the source,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. At the cut-off,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. On the documents, management proposed ADJ-32 at $120,000 for FY2024, described as management fee charged by the founder holding entity. On the balance,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. Management fee charged by was reduced at $74,000: the reviewer removed only the portion of the fee for which no continuing service was identified, and left the accounting support component in reported cost. Management fee charged by carries a recurrence judgment of normalization, and the supporting file is the intercompany invoice series and the services description in the shared services memorandum. On Management fee charged by, the item is retained in the file even though it does not change the conclusion, so the trail remains complete.

Schedule 5.4 - Adjustment schedule with reviewer disposition

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
ADJ-03	Reversal of a duplicated freight accrual	27,315	Deduction	FY2025	Normalization	Diligence	the November 2025 accrual workpaper compared	Accepted	27,315
ADJ-04	Owner's vehicle and club dues	34,720	Add-back	FY2025	Normalization	Management	general ledger detail for accounts 6410 and	Reduced	22,180
ADJ-07	Cloud hosting overage during the Crestline migration	128,940	Add-back	H2-2025	Non-recurring	Management	the hosting provider's invoice detail by pro	Reduced	79,500
ADJ-10	Deployment labour capitalized in error	213,800	Deduction	FY2025	Reclassification	Diligence	the fixed asset addition schedule traced to	Accepted	213,800
ADJ-12	Rent abatement on the Fremont lease	62,400	Deduction	FY2024	Normalization	Diligence	the lease amendment dated 2024-02-08 and the	Accepted	62,400
ADJ-13	Trade show and customer	88,250	Add-back	FY2025	Non-recurring	Management	event vendor invoices	Rejected	0

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
	summit costs						and the internal event		
ADJ-14	Bad debt write-off on the Dunbar Industrial receivable	154,900	Add-back	FY2024	Non-recurring	Management	the write-off approval memorandum and the cu	Reduced	118,400
ADJ-15	Unrecorded liability for the September 2025 spares purchas	71,640	Deduction	FY2025	Normalization	Diligence	the vendor statement reconciliation and the	Accepted	71,640
ADJ-16	Pro forma savings from the renegotiated hosting contract	204,000	Add-back	Q2-2026	Pro forma	Management	the executed hosting agreement dated 2026-04	Reduced	121,000
ADJ-17	Founder-owned property sublease above market	43,200	Add-back	FY2024	Normalization	Diligence	the sublease agreement and two broker opinio	Reduced	27,600
ADJ-18	Inventory obsolescence charge on the first-generation chas	267,500	Add-back	FY2024	Non-recurring	Management	the obsolescence provision workpaper and the	Reduced	168,000
ADJ-19	Customer credit issued for the Asterion availability short	118,700	Add-back	FY2025	Normalization	Management	the credit memorandum, the service level rep	Rejected	0
ADJ-20	Unfunded paid time off accrual movement	84,300	Deduction	LTM Jun-2026	Normalization	Diligence	the PTO liability rollforward and the human	Accepted	84,300
ADJ-22	Contractor conversion cost differential	138,900	Deduction	Q1-2026	Run-rate	Management	offer letters for eleven converted contracto	Reduced	92,400
ADJ-24	Deferred revenue haircut on the Harborline pilot	62,900	Deduction	H2-2025	Normalization	Diligence	the pilot agreement, the acceptance certific	Accepted	62,900
ADJ-25	Insurance premium refund on the cancelled cargo policy	31,200	Deduction	FY2024	Non-recurring	Diligence	the broker credit advice and the policy canc	Accepted	31,200
ADJ-26	Board and advisory fees settled in cash	78,000	Add-back	FY2025	Normalization	Management	board minutes, the advisory agreements and t	Rejected	0
ADJ-28	Supplier recovery on	88,500	Deduction	FY2025	Non-recurring	Diligence	the supplier settlement	Accepted	88,500

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
	the harness defect						letter and the credi		
ADJ-29	Sales commission true-up on multi-year bookings	109,400	Deduction	FY2025	Normalization	Diligence	the commission plan, the bookings register a	Accepted	109,400
ADJ-31	Prepaid maintenance expensed on payment	46,900	Deduction	FY2024	Reclassification	Diligence	the vendor contract term, the payment advice	Accepted	46,900
ADJ-32	Management fee charged by the founder holding entity	120,000	Add-back	FY2024	Normalization	Management	the intercompany invoice series and the serv	Reduced	74,000
ADJ-34	Capitalized cloud configuration cost	97,200	Deduction	FY2025	Reclassification	Diligence	the internal-use software addition schedule	Reduced	61,400
ADJ-35	Foreign exchange loss on the Ontario deployment payables	24,830	Add-back	FY2025	Normalization	Management	the currency revaluation report and the two	Rejected	0
ADJ-36	Unrecorded credit balance owed to Evergreen Warehousing	53,400	Deduction	LTM Jun-2026	Normalization	Diligence	the customer statement, the unapplied cash r	Accepted	53,400
ADJ-37	Annualization of the enterprise support team build	168,000	Deduction	Q2-2026	Run-rate	Diligence	the approved headcount plan, six signed offe	Accepted	168,000
ADJ-38	Deferred bonus accrual reversal	74,900	Deduction	FY2024	Normalization	Diligence	the bonus plan document, the accrual workpap	Accepted	74,900
ADJ-40	Government innovation grant recognized in other income	65,000	Deduction	FY2024	Normalization	Diligence	the grant agreement, the milestone certifica	Accepted	65,000
ADJ-41	Warranty accrual shortfall against observed failure rates	79,600	Deduction	LTM Jun-2026	Normalization	Diligence	the field failure log, the parts cost file a	Reduced	48,300

7. Items the reviewer added to the schedule

Several of the items below move earnings downward, and they are presented with the same evidence standard applied to the seller's upward items. On inspection,, inventory quantities rest on perpetual records because the reviewer did not observe the June 2026 count and the count sheets were only partially made available. In the file,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported.

Against the ledger, management's workpaper presents ADJ-03, Reversal of a duplicated freight accrual, which deducts $27,315 against FY2025 on a normalization basis. In sequence,, freight for two November shipments was accrued twice, once from the shipping manifest and once from the carrier invoice, so reported cost was understated when the accrual reversed in December. Support consists of the November 2025 accrual workpaper compared against the carrier statement, and the item was put forward by diligence. Reversal of a duplicated was accepted at $27,315: the duplication is arithmetically demonstrable from the two source documents and management did not contest it. On Reversal of a duplicated, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. ADJ-11 concerns founder salary normalization to market and was raised by management as a pro forma item. On the record,, management proposes to hold founder compensation at its current below-market level on the argument that the founders will not renegotiate. On Founder salary normalization to, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. Founder salary normalization to is recorded as a deduction of $145,000 in LTM Jun-2026, evidenced by a compensation benchmark memorandum prepared by management's advisers. Founder salary normalization to was rejected outright: the reviewer will not build a deduction on an assumption about future negotiation; the more defensible treatment leaves reported compensation in place and flags the exposure. On reperformance, the tie-out includes ADJ-34, Capitalized cloud configuration cost, which deducts $97,200 against FY2025 on a reclassification basis. At the cut-off,, configuration work on a hosted platform was capitalized although the tickets describe implementation and data migration activity rather than the development of a new asset. Support consists of the internal-use software addition schedule and the underlying engineering tickets, and the item was put forward by diligence. Capitalized cloud configuration cost was reduced at $61,400: the reviewer accepted that a portion of the work created a genuine integration component and reclassified the balance to operating expense. On Capitalized cloud configuration cost, the reviewer's conclusion here differs from the position taken in the seller's own vendor material.

On the substance, the reviewer traced ADJ-39, Legal settlement with a former contractor, which adds back $112,500 against H2-2025 on a non-recurring basis. Per the register,, a wage classification claim brought by a former field contractor settled in November 2025 for a single payment with no continuing obligation. Support consists of the settlement agreement, counsel's closing memorandum and the payment advice, and the item was put forward by management. Legal settlement with a was accepted at $112,500 and the reason sits on the schedule itself. On Legal settlement with a, the reviewer notes that management agreed the facts while reserving its position on the treatment. ADJ-26 concerns board and advisory fees settled in cash and was raised by management as a normalization item. On the merits,, management proposes to remove non-executive board cost on the basis that the buyer will appoint its own directors without fees. On Board and advisory fees, no further procedures were considered necessary once the source document had been inspected. Board and advisory fees is recorded as a add-back of $78,000 in FY2025, evidenced by board minutes, the advisory agreements and the payment register. Board and advisory fees was rejected outright: the reviewer treats independent director cost as an ordinary cost of a company of this size; the buyer's own governance arrangement is a post-closing choice, not a normalization. At the cut-off, management proposed ADJ-02 at $318,455 for LTM Jun-2026, described as financing and diligence legal fees. On testing,, the fees relate to financing preparation and diligence response rather than to running the business, and the engagement letters scope the work accordingly. Financing and diligence legal was reduced at $291,200: one invoice bundles routine commercial contract review with transaction work, and the reviewer left the commercial portion in reported results. Financing and diligence legal carries a recurrence judgment of non-recurring, and the supporting file is three law-firm invoices coded to outside professional fees, with engagement letters. On Financing and diligence legal, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule.

On inspection, next in sequence is ADJ-14, Bad debt write-off on the Dunbar Industrial receivable, which adds back $154,900 against FY2024 on a non-recurring basis. On this point,, the customer entered an assignment for benefit of creditors in October 2024 and the balance was written off in full. Support consists of the write-off approval memorandum and the customer's bankruptcy notice, and the item was put forward by management. Bad debt write-off on was reduced at $118,400: the reviewer left a normal-course provision equal to the three-year average write-off rate in reported results and added back only the excess. On Bad debt write-off on, the conclusion rests on a document produced by a third party rather than by the company. ADJ-12 concerns rent abatement on the fremont lease and was raised by diligence as a normalization item. In sequence,, a four-month abatement negotiated during the 2024 expansion reduced cash rent below the contractual level that continues after the abatement window. On Rent abatement on the, the item is cross-referenced to

the corresponding entry in the information request register. Rent abatement on the is recorded as a deduction of $62,400 in FY2024, evidenced by the lease amendment dated 2024-02-08 and the straight-line rent schedule. Rent abatement on the was accepted at $62,400: the amendment fixes the abated months and the schedule shows the step-up that follows, so the normalization is contractual rather than judgmental. Per the index, among the larger items is ADJ-13, Trade show and customer summit costs, which adds back $88,250 against FY2025 on a non-recurring basis. On the evidence,, management characterizes the inaugural customer summit as a one-time brand investment. Support consists of event vendor invoices and the internal event budget reconciliation, and the item was put forward by management. Trade show and customer was rejected outright and the reason sits on the schedule itself. On Trade show and customer, the item is cross-referenced to the corresponding entry in the information request register.

In sequence, management proposed ADJ-06 at $74,600 for FY2025, described as recruiting fees for the replacement operations leader. Taken alone,, management treats executive search cost as an event cost tied to the departure rather than an ongoing expense. Recruiting fees for the was rejected outright: the company filled six senior roles through retained search across the review period, so search fees are a recurring feature of this cost base. Recruiting fees for the carries a recurrence judgment of normalization, and the supporting file is the search-firm invoice and the executed offer letter. On Recruiting fees for the, reperformance used the contractual rate rather than the rate management had applied. On the record, the file supports ADJ-42, Interim chief financial officer engagement, which adds back $96,000 against H2-2025 on a non-recurring basis. By agreement,, an interim finance leader covered a five-month vacancy and management removes the full engagement cost as a transition item. Support consists of the interim engagement letter, monthly invoices and the permanent hire's offer letter, and the item was put forward by management. Interim chief financial officer was reduced at $34,000 and the reason sits on the schedule itself. On Interim chief financial officer, the item is cross-referenced to the corresponding entry in the information request register. On the record, management proposed ADJ-32 at $120,000 for FY2024, described as management fee charged by the founder holding entity. In the event,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. Management fee charged by was reduced at $74,000 and the reason sits on the schedule itself. Management fee charged by carries a recurrence judgment of normalization, and the supporting file is the intercompany invoice series and the services description in the shared services memorandum. On Management fee charged by, the reviewer confirmed the counterparty is not a related party before accepting the document at face value.

Schedule 5.5 - Error projection by population

Population and period	Evidence source	Items tested	Coverage of value	Errors found	Gross error ($)	Projected effect ($)
Hardware transfer dates - FY2025	Acceptance certificates	23	33%	4	66,986	202,987
Hardware transfer dates - LTM Jun-2026	Acceptance certificates	58	84%	2	70,481	83,905
Subscription monthly recognition - FY2025	Billing extract	38	35%	6	122,710	350,600
Subscription monthly recognition - LTM Jun-2026	Billing extract	35	57%	0	0	0
Deployment milestone revenue - FY2025	Milestone certificates	62	60%	1	138,630	231,050
Deployment milestone revenue - LTM Jun-2026	Milestone certificates	51	35%	3	49,071	140,202
Training obligation delivery - FY2025	Attendance records	53	34%	4	35,348	103,964
Training obligation delivery - LTM Jun-2026	Attendance records	20	31%	6	79,456	256,309
Service credits and rebates -	Credit memoranda	73	49%	6	57,146	116,624

Population and period	Evidence source	Items tested	Coverage of value	Errors found	Gross error ($)	Projected effect ($)
FY2025						
Service credits and rebates - LTM Jun-2026	Credit memoranda	42	30%	2	114,922	383,073
Accounts payable cutoff - FY2025	Goods receipt notes	27	84%	2	105,236	125,280
Accounts payable cutoff - LTM Jun-2026	Goods receipt notes	66	68%	6	109,719	161,351
Accrued liabilities completeness - FY2025	Vendor statements	56	82%	3	161,634	197,114
Accrued liabilities completeness - LTM Jun-2026	Vendor statements	19	31%	6	31,289	100,932
Manual journal entries - FY2025	Journal extract	38	42%	0	0	0
Manual journal entries - LTM Jun-2026	Journal extract	56	25%	5	79,955	319,820
Cash receipts application - FY2025	Remittance advices	69	64%	6	171,166	267,446
Cash receipts application - LTM Jun-2026	Remittance advices	69	76%	4	118,397	155,785
Unbilled receivable ageing - FY2025	Project records	35	33%	4	94,408	286,084
Unbilled receivable ageing - LTM Jun-2026	Project records	61	25%	0	0	0

8. Outstanding requests, owners and unresolved effects

The register below is reproduced as it stood at the date of this file, including items that have been resolved, so that the diligence trail is not rewritten. On the balance,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. On the source,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off.

On the papers, the information request log records IR-052, bank statements for the ontario subsidiary for the full period, addressed to the seller - controller and requested on 2026-06-25; the response is partially received. The status is recorded as open. Per the register,, two months are missing, so cash proof coverage for the subsidiary is below the level applied to the parent. For bank statements for the, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. In the file, the reviewer requested IR-081, inventory count sheets for the june 2026 physical count, addressed to the seller - operations and requested on 2026-07-01; the response is partially received. The status is recorded as open. In the file,, count coverage of the spares pool cannot be confirmed, so inventory in the working capital peg rests on the perpetual records. For inventory count sheets for, no projection was made from this item because it arises from a single identifiable event. IR-019 asks for retention agreements underpinning the larkspur earn-out. The request for retention agreements underpinning the was raised on 2026-06-18 with the seller - counsel and the response is partially received, leaving the item open. For retention agreements underpinning the, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. From the extract,, the split between fixed deferred consideration and retention-contingent amounts cannot be finalized, so part of the balance stays in a range.

IR-107 asks for detail of the fy2026 discretionary bonus by participant. The request for detail of the fy2026 was raised on 2026-07-06 with the seller - hr director and the response is partially received, leaving the item open. For detail of the fy2026, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. By reference,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. IR-099 asks for reconciliation of the fixed asset register to the ledger. The request for reconciliation of the fixed was

raised on 2026-07-03 with the seller - controller and nothing has been provided, leaving the item open. For reconciliation of the fixed, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. On the merits,, depreciation in the earnings measure cannot be tied to the register, which limits the capital expenditure commentary. As to the facts, still unresolved is IR-067, supplier settlement letter for the harness rework recovery, addressed to the seller - procurement and requested on 2026-06-29; material was provided on 2026-07-02. The status is recorded as closed. By agreement,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis. For supplier settlement letter for, the conclusion rests on a document produced by a third party rather than by the company.

Per the register, the seller - company secretary holds IR-034, board minutes evidencing the december 2024 bonus decision, requested 2026-06-20. In the file,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. On board minutes evidencing the, as at the date of this file material was provided on 2026-07-08 and the item is received - insufficient. For board minutes evidencing the, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. IR-045 asks for fixed asset additions traced to underlying engineering tickets. The request for fixed asset additions traced was raised on 2026-06-24 with the seller - engineering manager and material was provided on 2026-07-06, leaving the item received - under review. For fixed asset additions traced, the supporting document was produced after two requests and its late arrival is noted in the register. As matters stand,, the capitalization reclassification could change if further tickets support the treatment management applied. On the balance, among the open matters is IR-031, standalone selling price analysis for bundled northfield contracts, addressed to the seller - revenue accountant and requested on 2026-06-20; nothing has been provided. The status is recorded as open. On a second read,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. For standalone selling price analysis, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

On the record, the seller - revenue accountant holds IR-088, analysis of the pinecrest option pricing against list, requested 2026-07-02. As matters stand,, the material right judgment stays open, and any allocation to the option would move revenue between periods. On analysis of the pinecrest, as at the date of this file nothing has been provided and the item is open. For analysis of the pinecrest, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. As matters stand, outstanding is IR-111, support for the liquidated damages waiver on redbank, addressed to the seller - commercial and requested on 2026-07-07; material was provided on 2026-07-13. The status is recorded as received - under review. Taken alone,, the amendment accounting remains open, and both the accrual and the waiver may move between periods. For support for the liquidated, the amount was agreed to the underlying system extract without a residual difference. On a second read, the seller - controller holds IR-027, billing system extract reconciled to the general ledger by month, requested 2026-06-19. On the documents,, the extract was reconciled and the residual monthly differences are immaterial and explained. On billing system extract reconciled, as at the date of this file material was provided on 2026-06-27 and the item is closed. For billing system extract reconciled, the reviewer compared the item with the equivalent balance in the prior period before reaching a view.

Schedule 5.6 - Receivable, payable and inventory days by month

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
2024-01	4,252,122	1,616,144	72	52	52	72	Improved after the credit control change
2024-02	4,312,108	1,677,985	64	42	62	84	Within the trailing average
2024-03	5,525,080	2,368,792	42	54	115	103	Within the trailing average
2024-04	6,369,718	1,446,709	70	58	103	115	Inventory build ahead of a phase release
2024-05	4,559,707	1,055,700	51	33	58	76	Distorted by a single milestone invoice
2024-06	3,184,525	1,408,149	66	44	56	78	Within the trailing average
2024-07	3,834,863	1,225,220	72	32	114	154	Elevated by

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
							two late enterprise settlements
2024-08	6,385,699	1,221,920	66	28	104	142	Elevated by two late enterprise settlements
2024-09	6,025,865	2,250,670	60	35	85	110	Distorted by a single milestone invoice
2024-10	6,785,867	1,961,400	43	42	69	70	Elevated by two late enterprise settlements
2024-11	5,452,913	643,703	72	46	78	104	Inventory build ahead of a phase release
2024-12	4,814,557	2,252,146	62	34	105	133	Within the trailing average
2025-01	3,520,689	1,130,254	62	35	67	94	Within the trailing average
2025-02	5,292,903	1,664,558	44	38	76	82	Improved after the credit control change
2025-03	6,327,407	2,027,345	55	46	92	101	Improved after the credit control change
2025-04	3,592,502	1,344,381	41	50	57	48	Elevated by two late enterprise settlements
2025-05	4,066,127	2,206,013	52	51	94	95	Within the trailing average
2025-06	5,363,186	749,626	44	40	69	73	Within the trailing average
2025-07	3,335,411	2,376,535	73	48	117	142	Within the trailing average
2025-08	3,384,486	1,683,622	53	35	57	75	Elevated by two late enterprise settlements
2025-09	4,732,810	1,589,051	57	44	109	122	Inventory build ahead of a phase release
2025-10	4,145,578	733,377	62	59	52	55	Improved after the credit control change
2025-11	4,053,890	1,817,513	62	57	50	55	Elevated by two late enterprise settlements
2025-12	6,692,218	2,011,324	49	62	55	42	Inventory build ahead of a phase release
2026-01	6,486,599	2,176,102	57	44	78	91	Distorted by a single milestone invoice
2026-02	3,358,029	1,205,830	66	61	91	96	Payables stretched at the period end
2026-03	3,372,028	750,988	69	47	107	129	Distorted by a single milestone invoice
2026-04	3,249,610	905,391	66	34	75	107	Inventory build ahead of a phase release
2026-05	5,515,003	1,259,064	66	62	95	99	Improved after

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
							the credit control change
2026-06	6,077,715	639,767	50	43	80	87	Elevated by two late enterprise settlements

9. Scope limitations and matters the reviewer could not resolve

A diligence record is only useful if it is honest about its gaps, so the reviewer lists here every matter that could not be resolved within the fieldwork window. Read narrowly,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. On a second read,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure.

In sequence,, the reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment. In review,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. On a second read,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. As to the facts, still unresolved is IR-045, fixed asset additions traced to underlying engineering tickets, addressed to the seller - engineering manager and requested on 2026-06-24; material was provided on 2026-07-06. The status is recorded as received - under review. On the balance,, the capitalization reclassification could change if further tickets support the treatment management applied. For fixed asset additions traced, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

On this point,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025. By reference,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. Taken alone,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. Per the index, also open is IR-096, confirmation of restricted cash release conditions, addressed to the seller - treasury and requested on 2026-07-03; the response is received - under review. The status is recorded as pending. In sequence,, if release depends on milestones beyond closing the balance stays outside cash at closing. For confirmation of restricted cash, the reviewer asked for the underlying system report and worked from that rather than from the extract provided.

On the source,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. From the extract,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. As matters stand,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. On testing, still unresolved is IR-071, aged unbilled receivable detail with billing triggers, addressed to the seller - project accountant and requested on 2026-06-29; nothing has been provided. The status is recorded as open. In sequence,, without billing triggers the reviewer cannot distinguish unbilled amounts awaiting a milestone from those awaiting customer sign-off. For aged unbilled receivable detail, the item was selected for testing because of its characteristics rather than its size.

On the evidence,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. In the event,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. In sequence,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. On the documents, the seller - procurement holds IR-067, supplier settlement letter for the harness rework recovery, requested 2026-06-29. On the documents,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis. On supplier settlement letter for, as at the date of this file material was provided on 2026-07-02 and the item is closed. For supplier settlement letter for, the conclusion would change if the missing supporting document is later produced in a different form.